

Share Price	LT Growth Rate
11.66	0%
13.05	2%
14.94	4%
17.67	6%

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IMPLIED RETURN AND GROWTH



calculate and interpret the implied return of fixed-income instruments and required return and implied growth of equity instruments given the present value (PV) and cash flows

Lesson 1 addressed the time value of money trade-off between cash flows occurring today versus those in the future for certain fixed income and equity instruments. Market participants often face a situation in which both the present and future values of instruments or cash flows may be known. In this case it becomes possible to solve for the implied return or growth rate implied by the current price and features of the future cash flows. In this sense, solving for the implied growth or return provides a view of the market expectations that are incorporated into the market price of the asset.

Implied Return for Fixed-Income Instruments

Fixed-income instruments are characterized by contractual interest and principal cash flows. If we observe the present value (or price) and assume that all future cash flows occur as promised, then the discount rate (r) or yield-to-maturity (YTM) is a measure of implied return under these assumptions for the cash flow pattern.

In the case of a discount bond or instrument, recall that an investor receives a single principal cash flow (FV) at maturity, with $(FV - PV)$ representing the implied return, as shown in Exhibit 7.